

ANCILLARY REVENUE AUDIT

Solstice Opal Hotel | Strategic Analysis Report

TO: Head of Analytics

FROM: Lead Data Analyst

SUBJECT: Q1 Ancillary Revenue Performance & Strategy

1. DATA VALIDATION & CLEANING

To ensure our findings were 100% accurate, I conducted a deep-dive audit of our 570 guest stays. Since our data comes from three separate systems, cleaning was essential to turn the raw data into a solid foundation for our strategy.

Guest Profiles

- **guest_id:** Cleaned and standardized to ensure perfect merging across datasets.
- **loyalty_tier:** Found that 48% of profiles were missing data. Instead of deleting them, I labeled them 'Unknown' so we could still track their spending impact.
- **marketing_consent:** Normalized all entries into a consistent format for future targeting.

Stay Details

- **number_of_guests:** Capped outliers at the dataset median to keep our per-stay and per-guest math reliable.
- **Categorization:** Standardized 'booking_channel' and 'reason_for_stay' to ensure consistent segment reporting.

Ancillary Spend

- **ID Formatting Fix:** Resolved a "merge mismatch" by stripping category suffixes (e.g., '124D' to '124'), ensuring 100% of spend correctly joined to our guest stays.

- **Integrity Checks:** Removed 79 records with null spend and 25 duplicate transactions to prevent revenue inflation.

2. KEY FINDINGS

Our exploratory analysis highlighted exactly where our money is coming from and—more importantly—where we are missing out:

- **Dining is our Anchor:** It drives 53% (\$32,111) of all non-room spend. It's the core of our ancillary revenue.
- **The Spa is a "Heavy Hitter":** While lower volume than dining, the Spa has the highest Average Transaction Value at \$75.
- **Gold Members Lead the Way:** Gold Tier guests convert at a rate 12% higher than Silver members. They are our most valuable segment.
- **The Corporate Gap:** We identified a huge group of repeat business guests who stay frequently but spend zero on extras. This is our biggest untapped opportunity.

3. PROPOSED BUSINESS METRIC

PRIMARY KPI FOR MONITORING

Avg. Ancillary Revenue per Stay

Current Baseline: \$106.35

We need to move beyond just tracking "Total Revenue." By monitoring the **Average Ancillary Revenue per Stay**, we can measure our efficiency at selling to the guests who are already on-site, regardless of whether the hotel is full or half-empty. This is our "North Star" for measuring growth.

4. FINAL RECOMMENDATIONS

To hit our target of a 15% increase in non-room margins, I recommend the following immediate actions:

- **Maximize High-Yield Upsells:** Hit Gold Tier members with personalized dining offers the moment they check in.
- **Bridge the Corporate Gap:** Launch "Work & Wellness" bundles that include breakfast or spa credits in the room rate for business travelers.
- **Push Spa Early:** Send digital booking prompts 24 hours before arrival to capture high-value spa transactions.
- **Institutionalize Tracking:** Monitor our new per-stay KPI daily and conduct bi-weekly loyalty audits to prevent revenue leakage.